

Europe's VC Funding Stayed Flat In Q1, Even As Healthcare Added A Third

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EUROPE



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Europe's venture funding plateaued at \$12.6 billion in Q1 2025 — flat quarter over quarter and year over year, Crunchbase data shows. Without the sort of outsized AI funding rounds seen in North America in the first quarter, the continent's [share of global funding](#) also fell.

Funding in the latest quarter was on the lower end of the spectrum in Europe. Since the venture funding downturn started in 2022, funding in the region has fluctuated by quarter. The lowest quarter in the past year was above \$10 billion and the strongest was above \$16 billion.

However, European venture has grown since the pre-pandemic years, and annual funding in both 2023 and 2024 were above 2020 and prior years.

A smaller proportion of global venture capital went to Europe-based startups in the first quarter — 11%, down from 16% in 2024 — in large part due to one outsized round in the U.S.: [OpenAI’s \\$40 billion raise](#), the [largest private market funding round on record](#).

Europe Venture Dollar Volume Through Q1 2025

	QoQ Change [%]	YoY Change [%]
Overall Dollar Volume	4%	2%

[crunchbase](#)

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Healthcare leads

The largest sector for funding was healthcare and biotech, which raised \$4 billion — or 32% of Europe’s funding in Q1. Europe-based financial services startups raised \$2.8 billion in Q1, and AI-related companies landed \$2.7 billion.

Spain raised \$1 billion

The U.K. is consistently the leading market for venture funding in Europe, while France and Germany are more often second or third.

U.K.-based startups raised around \$4.4 billion in Q1, Crunchbase data shows. Germany-based startups followed with \$1.6 billion raised, while startups in France raised \$1.3 billion, and Spain-based companies came in fourth with \$1 billion raised. Q1 2025 was the first quarter in more than two years that Spanish startups raised at least \$1 billion.

Venture Dollar Volume By Leading Country In Europe, Through Q1 2025

crunchbase

Late stage

In Q1, around \$5.6 billion was invested across 80-plus financings at growth stage, according to Crunchbase data.

Large late-stage rounds were raised by two London-based companies: [Google](#)-backed AI drug discovery company [Isomorphic Labs](#) (\$600 million) and payments platform [Rapyd](#) (\$500 million).

The next largest fundings were outside of the U.K.: Berlin-based [Amboss](#), which provides medical knowledge for clinical decision making (\$259 million), and Barcelona-based [TravelPerk](#), which offers business travel management services (\$200 million).

Europe Late-Stage And Technology-Growth Investment Through Q1 2025

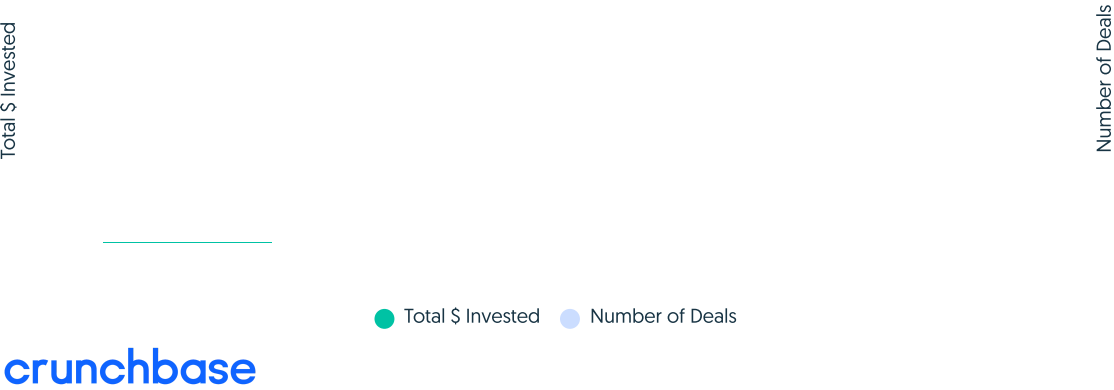
[crunchbase](#)

Early stage

Early-stage companies in Europe raised \$5.4 billion, across more than 280 funding rounds.

Large Series A rounds were invested in London-based obesity drug developer [Verdiva Bio](#) (\$411 million), and Basel, Sweden-based [Windward Bio](#) (\$200 million), which is developing treatments for respiratory conditions. Stockholm-based healthcare scanning company [Neko Health](#), closed a Series B round, (\$260 million).

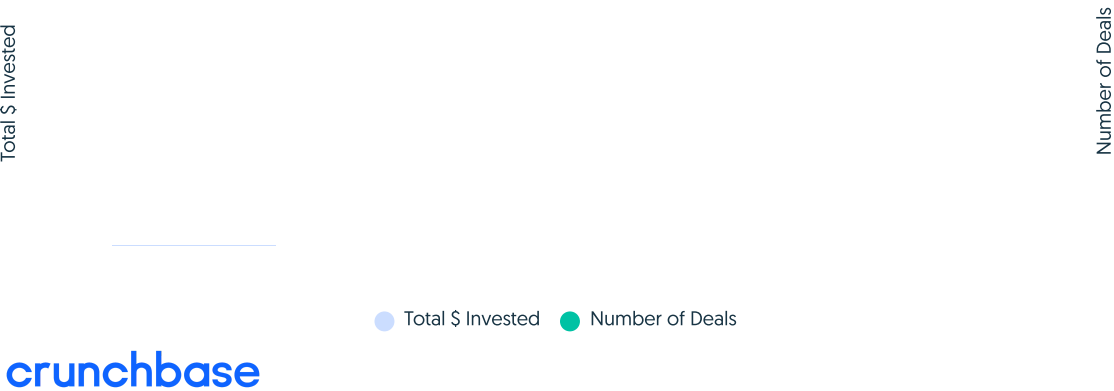
Europe Early-Stage Investment Through Q1 2025



Seed

European seed funding totaled \$1.6 billion in Q1 across 850 seed rounds. (Although, as always, we expect those amounts to go up over time as seed fundings are sometimes added beyond the end of a quarter.)

Europe Seed And Angel Investment Through Q1 2025



Downturn by region

The impact of the downturn in venture has varied by continent. North America [has seen an increase in recent quarters](#) due to large fundings in the AI sector. [Asia has slowed significantly](#), as [has Latin America](#).

Despite the downturn, since 2023 Europe's funding amounts were above pre-pandemic funding levels. Despite the turmoil in the venture markets, Europe's venture ecosystem, especially at early stage, has grown after the pandemic years. The most recent quarter is no exception.

Methodology

The data contained in this report comes directly from Crunchbase, and is based on reported data. Data reported is as of April 2, 2025.

Note that data lags are most pronounced at the earliest stages of venture activity, with seed funding amounts increasing significantly after the end of a quarter/year.

Please note that all funding values are given in U.S. dollars unless otherwise noted. Crunchbase converts foreign currencies to U.S. dollars at the prevailing spot rate from the date funding rounds, acquisitions, IPOs and other financial events are reported. Even if those events were added to Crunchbase long after the event was announced, foreign currency transactions are converted at the historic spot price.

Glossary of funding terms

Seed and angel consists of seed, pre-seed and angel rounds. Crunchbase also includes venture rounds of unknown series, equity crowdfunding and convertible notes at \$3 million (USD or as-converted USD equivalent) or less.

Early-stage consists of Series A and Series B rounds, as well as other round types. Crunchbase includes venture rounds of unknown series, corporate venture and other rounds above \$3 million, and those less than or equal to \$15 million.

Late-stage consists of Series C, Series D, Series E and later-lettered venture rounds following the “Series [Letter]” naming convention. Also included are venture rounds of unknown series, corporate venture and other rounds above \$15 million. Corporate rounds are only included if a company has raised an equity funding at seed through a venture series funding round.

Technology growth is a private-equity round raised by a company that has previously raised a “venture” round. (So basically, any round from the previously defined stages.)

Related reading:

- [Q1 Global Startup Funding Posts Strongest Quarter Since Q2 2022 With A Third Going To Massive OpenAI Deal](#)
- [North America Startup Investment Spiked In Q1 Due To OpenAI, But Seed And Early Stage Fell](#)
- [Asia Sags To Lows Not Seen Since 2014](#)
- [Latin America Startup Funding Fell Sequentially In Q1](#)

Illustration: Dom Guzman